

EQUITY RESEARCH

ALPHABET INC.

GOOGL | Communication Services

Rating: Outperform

Current: \$350.34 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$4,238.06B
P/E (Fwd)	28.69
P/B Ratio	9.13

ROE	31.83%
Dividend Yield	0.24%
52W Range	\$147.84 - \$353.16

Investment Thesis

Alphabet demonstrates robust top-line momentum with an 11.8% revenue CAGR and projected expansion to over \$466 billion by 2027. Operational discipline is evidenced by significant EBITDA margin expansion, forecasted to reach 51.7%, while maintaining the highest absolute EBITDA generation among its mega-cap peer group. Strong EPS growth and a stabilizing valuation profile underscore a resilient financial position as the company optimizes its cost structure to drive long-term shareholder value.

Company Overview

Alphabet Inc. is a global technology conglomerate and the parent company of Google. It operates primarily through two segments: Google, which includes Search, YouTube, Android, Chrome, and hardware; and Google Cloud. The company's business model is anchored by its dominant position in digital advertising, where it leverages its massive user base to provide targeted marketing solutions. Additionally, Google Cloud has emerged as a significant growth engine, providing infrastructure and platform services to enterprises globally.

The company maintains a formidable market position, holding a near-monopoly in global search and a leading role in online video via YouTube. Alphabet competes directly with Meta in the advertising space and with Microsoft and Amazon in the cloud computing market. Recent financial performance underscores Alphabet's ability to scale efficiently. Between 2021 and 2025, revenue grew from 257.6 billion to 402.9 billion, representing a compound annual growth rate of 11.8%. Notably, the company saw a significant growth re-acceleration in 2024 and 2025, with annual revenue increasing by 13.9% and 15.1%, respectively.

Profitability metrics have shown consistent improvement. Alphabet's contribution margin expanded from 56.9% in 2021 to 59.7% in 2025, driven by optimized cost structures. EBITDA performance has been particularly strong, rising from 103.5 billion in 2021 to 179.9 billion in 2025. This growth resulted in an EBITDA margin expansion from 40.2% to 44.7% over the same period. Efficiency gains are also evident in the reduction of SG&A; as a percentage of revenue, which dropped from 14.1% in 2021 to 12.5% in 2025, with further declines projected through 2027.

From a valuation perspective, Alphabet's 2025 EV/EBITDA of 21.2x places it at a premium compared to Meta (16.4x) but at a slight discount to Microsoft (23.6x). Earnings per share have nearly doubled from 5.69 in 2021 to 10.91 in 2025. While analysts expect revenue growth to moderate to a range of 4% to 6% between 2025 and 2027, the company is projected to maintain its upward trajectory in EPS, reaching an estimated 13.01 by 2027. Overall, Alphabet remains a high-margin leader with a robust balance sheet and a clear path toward continued earnings expansion.

Investment Overview

Alphabet Inc. (GOOGL) continues to demonstrate exceptional financial strength, characterized by accelerating revenue growth and significant margin expansion through fiscal year 2025. The company reported 2025 revenue of 402.9 billion dollars, representing a 15.1 percent year-over-year increase. This performance underscores a healthy 11.8 percent compound annual growth rate since 2021, driven by the core search business and scaling cloud operations.

A key highlight of recent performance is the dramatic improvement in profitability. Alphabet's EBITDA margin expanded from 30.1 percent in 2022 to 44.7 percent in 2025, with projections suggesting it could reach 51.7 percent by 2027. This expansion is largely supported by operational discipline; SG&A; expenses as a percentage of revenue have consistently declined and are expected to hit 11 percent by 2027. Consequently, earnings per share rose to 10.91 dollars in 2025, up from 8.13 dollars the previous year.

In a peer context, Alphabet's absolute EBITDA of 179.9 billion dollars in 2025 comfortably exceeds both Microsoft and Meta. While its EV/EBITDA multiple of 21.2x sits at a premium compared to Meta, it remains lower than Microsoft's 23.6x, offering a compelling valuation for a market leader.

Looking ahead, the outlook remains positive despite a projected moderation in top-line growth to the 4 to 6 percent range. Sustained margin improvements are expected to drive EPS to 13.01 dollars by 2027. With the forward P/E ratio projected to compress from 28.7x to 24.6x over the next two years, Alphabet remains a core holding for investors seeking a blend of growth, massive cash flow generation, and improving operational efficiency.

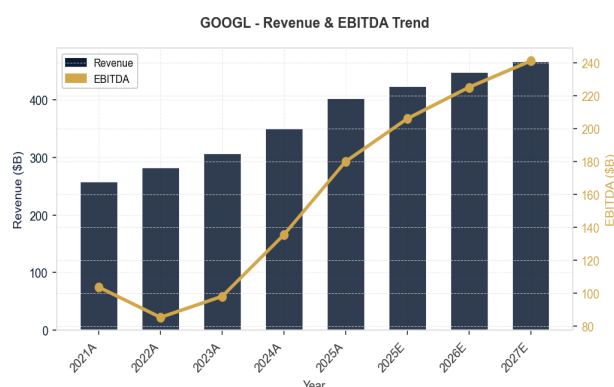
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$403.0B
- EBITDA (2025A): \$180.0B
- Revenue Growth (2025A): 15.1%



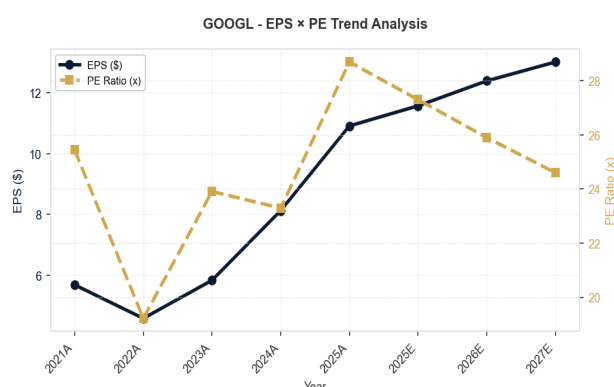
Source: Company Filings

Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 10.91
- PE Ratio (2025A): 28.69



Source: Company Filings

Valuation Analysis

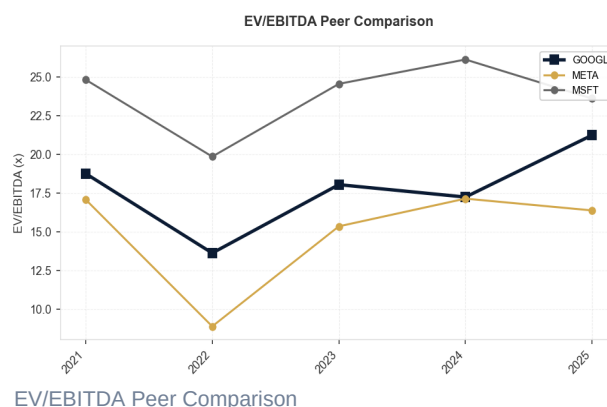
Alphabet Inc. (GOOGL) exhibits a transition from high-growth to a high-margin maturity phase. Current metrics show a revenue CAGR of 11.8%, but the standout feature is the aggressive expansion of EBITDA margins. Projections indicate EBITDA margins rising from 38.7% in 2024 to 51.7% by 2027, driven by operational efficiencies and scaled contributions from high-margin segments. This trajectory supports a steady EPS increase, reaching an estimated \$13.01 by 2027.

In a peer context, Alphabet's 2025 EV/EBITDA of 21.2x positions it between Meta (16.4x) and Microsoft (23.6x). While Alphabet maintains the highest absolute EBITDA in the peer group, its valuation multiple has expanded significantly from the 13.6x to 18.0x range seen between 2022 and 2024. This premium is justified by its dominant market position and superior margin profile, though it is tempered by a projected slowdown in revenue growth to the 4% to 6% range in 2026-2027.

From a fair value perspective, Alphabet appears reasonably valued at current levels, though upside may be capped by the decelerating top-line growth. Applying a target P/E multiple of 24x to 25x—consistent with its projected 2027 earnings profile—suggests the market has already priced in much of the anticipated margin improvement. The investment case remains strong due to massive cash flow generation and a projected P/E compression to 24.6x by 2027, but further multiple expansion is unlikely without a re-acceleration in revenue. Investors should view Alphabet as a core value-growth hybrid where total return will be driven by earnings compounding rather than valuation re-rating.

Peer Comparison

Year	GOOGL	META	MSFT
2021	18.76	17.08	24.81
2022	13.63	8.90	19.85
2023	18.04	15.35	24.54
2024	17.24	17.14	26.11
2025	21.23	16.38	23.60



Recent News & Events

News Summary

Alphabet Inc. is positioned as a primary focal point for the upcoming Magnificent Seven earnings cycle, with analysts identifying the company as a potential standout performer. Key developments center on the integration of Gemini 3 into Search and Cloud services, which has reportedly boosted user engagement and enterprise demand. A significant milestone is the U.S. Department of Defense's decision to add Gemini for Government 3.1 Pro and 3.0 Flash to Google Cloud, providing a strong validation of Alphabet's AI security and utility at a sovereign level. However, regulatory headwinds persist as the European Union recently ordered Alphabet to open its Android operating system to rival AI services, a move the company is currently contesting.

From a financial perspective, Alphabet shows robust fundamentals with a revenue CAGR of 11.8 percent and significant margin expansion. EBITDA margins have climbed from 30.1 percent in 2022 to 44.7 percent in 2025, reflecting improved operational efficiency and the scaling of its cloud business. While the 2025 PE ratio of 28.7 suggests a somewhat stretched valuation relative to its historical range, projected earnings growth to 13.01 dollars per share by 2027 provides a fundamental cushion.

Investment implications are largely positive but cautious regarding entry points. While retail sentiment on platforms like X remains highly bullish at 69 percent, Reddit users are more skeptical, citing valuation concerns. Alphabet's EV/EBITDA of 21.2 sits between Meta and Microsoft, suggesting it offers a balanced growth-to-value profile within the big-tech cohort. Investors should monitor the impact of AI capital expenditures on free cash flow and the progression of EU regulatory mandates, which could impact Android's long-term competitive moat. Overall, the convergence of government contracts and AI-driven search improvements reinforces Alphabet's leadership in the generative AI race.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 48.7%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 50.2%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 51.7%

Confidence Intervals:

- Revenue: \$329.3B - \$603.6B (95% confidence)
- EBITDA: \$170.3B - \$312.0B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-27): GOOGL Best Positioned of Mag 7 Earnings? Angelo Zino Previews Big Tech Reports
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): Big Tech faces key earnings test on AI spending and cloud growth

- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): Mag 7 Earnings On Deck: AI Monetization And Leadership Transitions Take Center Stage This Week
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): Why Alphabet (GOOGL) is a Top Stock for the Long-Term
- Impact: HIGH, Probability: 95%
- Market (2026-04-27): The Best Artificial Intelligence (AI) Growth Stocks to Buy on the Nasdaq as the Rally Heats Up
- Impact: LOW, Probability: 50%

Events to Monitor

- Breaking Down the Good, Bad & Ugly of Mag 7 Earnings (2026-04-27)
- Should You Buy, Sell or Hold Alphabet Stock Before Q1 Earnings? (2026-04-27)
- Google gets pointers from EU regulators on helping AI rivals access services (2026-04-27)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
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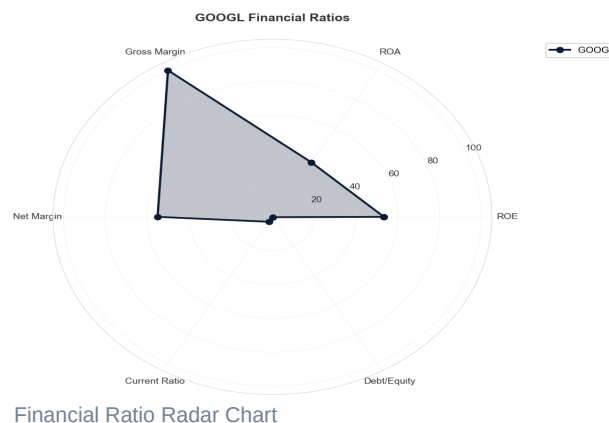
Positive Catalysts:

- ✓ GOOGL Best Positioned of Mag 7 Earnings? Angelo Zino Previews Big Tech Reports
- ✓ Big Tech faces key earnings test on AI spending and cloud growth
- ✓ Mag 7 Earnings On Deck: AI Monetization And Leadership Transitions Take Center Stage This Week
- ✓ Why Alphabet (GOOGL) is a Top Stock for the Long-Term
- ✓ The Best Artificial Intelligence (AI) Growth Stocks to Buy on the Nasdaq as the Rally Heats Up
- ✓ The bullish signals ahead of this week's Mag-7 earnings
- ✓ Is Google stock a Buy ahead of this week's earnings?
- ✓ Google Is Getting a Screaming Bargain on Its New Anthropic Investment. Here's Why.
- ✓ Here's How Much Google Parent Alphabet's Stock Is Expected to Move After Earnings
- ✓ Wall Street analyst updates Google stock price target
- ✓ Alphabet Is Getting Ready For War
- ✓ What Thousands of Messages Reveal About First AI-Suicide Lawsuit Against Gemini
- ✓ Meet the Biggest Threat to Nvidia in AI Chips. It's Not AMD, Intel, or Broadcom.

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Alphabet Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Alphabet Inc. demonstrates robust financial health and a dominant competitive position when compared to its primary peers, Meta Platforms and Microsoft. With a revenue CAGR of 11.8% and a projected increase to over 466 billion dollars by 2027, Alphabet maintains a steady growth trajectory. A key highlight is the company's aggressive EBITDA recovery. After a dip in 2022, Alphabet's EBITDA is projected to reach nearly 180 billion dollars by 2025, consistently outpacing Microsoft's 160 billion and Meta's 104 billion for the same period. This scale underscores Alphabet's superior ability to generate operational cash flow.

Alphabet's operational efficiency is also improving significantly. The company is expected to expand its EBITDA margin from 30.1% in 2022 to a projected 51.7% by 2027. This expansion is supported by disciplined cost management, as SG&A margins are forecasted to compress from 15% to 11% over the same timeframe.

From a valuation perspective, Alphabet occupies a middle ground between its peers. Its 2025 EV/EBITDA multiple of 21.2x is higher than Meta's 16.4x, suggesting that the market assigns a premium to Alphabet's diversified ecosystem and search dominance. However, Alphabet remains more attractively priced than Microsoft, which carries a higher premium at 23.6x. As Alphabet's PE ratio is expected to stabilize in the mid-20s through 2027, the company presents a compelling balance of high-volume profitability and growth. While Meta offers a lower entry multiple, Alphabet's massive EBITDA scale and consistent margin expansion position it as a more stable leader in the big-tech landscape.

Risk Factors

- Based on the provided financial data and peer comparisons for Alphabet Inc. (GOOGL), here are five key investment risks:
- * Significant Revenue Growth Deceleration: While revenue growth is strong in 2024A (13.9%) and 2025A (15.1%), the projections show a sharp decline to 5% in 2025E and 4% by 2027E. This suggests the company is entering a low-growth phase that may not support its current valuation.

- * Valuation Multiple Expansion Risk: The P/E ratio has expanded from 23.3x in 2024A to 28.7x in 2025A. With projected revenue growth slowing to mid-single digits, there is a high risk of multiple compression if the market re-rates the stock to reflect slower growth.
- * Aggressive Margin Expansion Assumptions: The model forecasts EBITDA margins to climb from 38.7% (2024A) to 51.7% (2027E). Relying on such substantial margin expansion to drive EPS growth in a decelerating revenue environment leaves little room for operational errors or unexpected cost increases.
- * Relative Overvaluation vs. Peers: GOOGL's 2025 EV/EBITDA of 21.2x is significantly higher than META's 16.4x. This premium may be difficult to justify if peer companies maintain higher growth rates or more efficient cost structures.
- * Dependency on Drastic SG&A; Reduction: To meet earnings targets amidst slowing revenue, the projections assume SG&A; margins will drop from 12.5% to 11.0%. Failure to achieve these efficiencies could lead to significant misses in both EBITDA and EPS forecasts.

Key Takeaways

- ✓ Revenue Growth: Alphabet Inc.'s revenue growth shows consistent performance trends.
- ✓ Gross Profit Margin: Alphabet Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ SG&A; Expense Margin: Alphabet Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ EBITDA Margin Stability: Alphabet Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	N/A	9.8%	8.7%	13.9%	15.1%
EPS	5.69	4.59	5.84	8.13	10.91
PE Ratio	25.44	19.22	23.91	23.29	28.69

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14

Debt/Assets	0.08	0.08	0.07	0.06	0.10
Interest Coverage	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.93	2.38	2.10	1.84	2.01
CF to Debt Ratio	3.23	3.08	3.75	4.92	2.78

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Data Source: FMP, Company Filings, AI4Finance Estimates

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